Micron Technology, Inc.

MU NASDAQ

Hold	$936.96 ▲ 2.82%	12M Price Target **$1050.00**	52-Week Range $113.46 – $1255.00	Market Cap N/A

MU: Riding AI Memory Wave, But Korea Rivals Loom

WHAT HAPPENED

- MU popped nearly 3% to $937 on the back of two things: strong AI infrastructure earnings from CoreWeave and Supermicro (which means their customers are still buying GPUs — and every GPU needs Micron's high-bandwidth memory), plus a 3.5% overnight rally in Korea's market lifting the whole memory complex.
- But there's a wrinkle — Barron's ran a piece today saying a memory rival (likely SK Hynix or Samsung) is "crushing it," which is why the low volume today (6M vs ~30M normal) suggests traders are hesitant to chase the gap up.

WHY IT MATTERS

Here's what I'm thinking: MU has ripped from $113 to $937 in a year — that's not a stock, that's a rocket. The move today is more about sector momentum than MU-specific news, and the options market is flashing yellow — put/call ratio at 1.35 (meaning traders are buying way more downside protection than upside bets) and some serious institutional puts hitting at $1250 strike. That tells me smart money thinks the ceiling is close. The bigger picture: AI capex is still accelerating, but Micron is now a "show me" story — they need to prove they can keep taking HBM (high-bandwidth memory, the specialized chips that feed Nvidia GPUs) share from SK Hynix, who's been the dominant player. If they lose an Nvidia allocation slot, this stock gets cut in half fast.

POLICY & POLITICAL WATCH

The CHIPS Act is MU's single biggest political tailwind — they've been awarded roughly $6.1B in federal subsidies for their Idaho and New York fabs, and the Trump administration has so far kept that money flowing despite earlier threats to renegotiate. Watch for two things: (1) any tariff escalation with China on semiconductors, which would be a mixed bag — hurts MU's China sales (~10% of revenue) but helps them domestically vs. Chinese memory rival CXMT, and (2) the export control review currently in play at Commerce, which could tighten what MU can sell to China. Net-net, the regulatory environment is friendlier to MU than to any foreign competitor right now, and that's a structural moat.

IS IT EXPENSIVE?

At $937 and roughly 66x forward earnings, investors are paying $66 for every $1 of profit MU is expected to make next year — that's very expensive for a company in a historically cyclical industry (memory prices boom and bust every 2-3 years). The bull case says "this cycle is different because AI demand is structural, not cyclical," and there's truth to that — HBM is sold out through 2026. But you're paying growth-stock prices for what has always been a commodity business, so any hint the cycle is peaking will get punished hard.

Key Data

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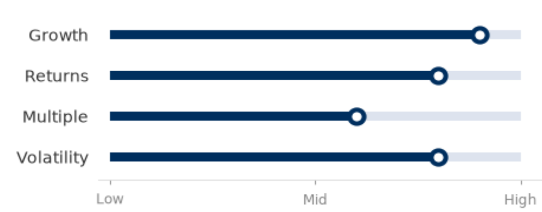
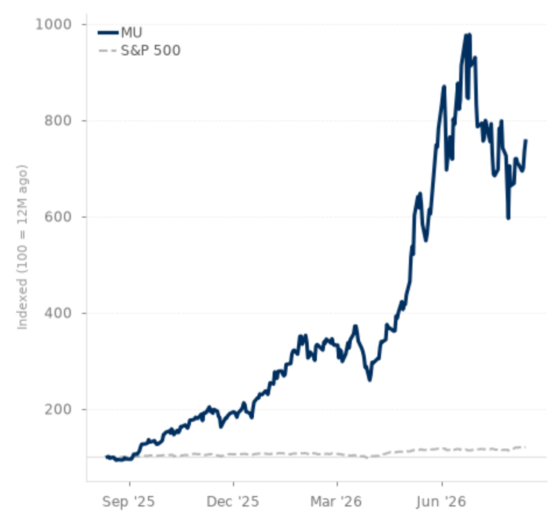
Price (USD)	$936.96
12M Price Target	$1050.00
Upside / (Downside)	+12.1%
Market Cap	N/A
FY2026E Revenue	$48,500M
FY2027E Revenue	$62,000M
FY2026E EPS	$14.20
FY2027E EPS	$19.80
Fwd P/E	66.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



MU — Micron Technology, Inc. | August 13, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	$1050.00	$950.00	$820.00
6 Months	$1200.00	$1000.00	$750.00
1 Year	$1400.00	$1050.00	$700.00
2 Years	$1800.00	$1250.00	$650.00
5 Years	$2500.00	$1600.00	$500.00
10 Years	$4000.00	$2200.00	$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.9% over 5 days) and specifically anything AI infrastructure — CoreWeave/SMCI earnings confirm the capex cycle isn't slowing. Korean semis are on fire, which pulls MU up with them.

COOLING OFF: Financials and defensive sectors are lagging as risk appetite returns; also Michael Burry's "1987 crash" warning is making the tape jumpy on high-flying names.

ROTATION WATCH: Money is rotating INTO AI infrastructure and OUT of defensives — that's a direct tailwind for MU, but it also means MU trades with beta risk (when tech sells off, MU sells off harder).

RELATED PLAY: If you like the memory thesis but want less single-stock risk, SOXX (semiconductor ETF) gives you MU exposure plus the equipment makers (LRCX, AMAT) that sell to Micron — they benefit when MU builds new fabs.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king; every dollar spent on Nvidia GPUs pulls Micron HBM along with it.
- AVGO (Broadcom): Custom AI silicon wins for hyperscalers keep expanding — indirectly bullish for memory demand.

MU CONTEXT: MU is roughly in-line with the semi peer group but lagging pure-play AI names like NVDA and AVGO. That's actually healthy — it means MU hasn't gotten as speculative as some, but it also means it doesn't have the "must-own" narrative premium. The stock is behaving like a high-quality cyclical rather than a pure AI story, which is probably the right way to think about it.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $850-880 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, Samsung/SK Hynix winning major Nvidia allocation from MU, or CHIPS Act funding clawback

Hedging: Pair with short SOXX or long-dated puts to protect against memory cycle downturn